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Case No. EC-2002-01038
Doc No. EA0246665
Date: 01/15/2003
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SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Grigsby, Mike <mike.grigsby@enron.com>
Sent: Fri, 12 Oct 2001 09:21:15 -0700 (PDT)
To: Allen, Phillip K. <k..allen@enron.com>, Gay, Randall L. <l..gay@enron.com>, Heu, Mog <mog.heu@enron.com>, Holst, Keith <keith.holst@enron.com>, Huang, Jason <jason.huang@enron.com>, Kuykendall, Tori <tori.kuykendall@enron.com>, Lenhart, Matthew <matthew.lenhart@enron.com>, Lisk, Daniel <daniel.lisk@enron.com>, Reitmeyer, Jay <jay.reitmeyer@enron.com>, Sanchez, Monique <monique.sanchez@enron.com>, Scott, Susan M. <m..scott@enron.com>, Smith, Matt <matt.smith@enron.com>, South ...
Subject: FW: Competitive Analysis Update- US Attacks Afghanistan #2

-----Original Message-----
From: Johnston, Robert
Sent: Friday, October 12, 2001 11:04 AM
To: Whalley, Greg; Mcconnell, Mike; Shankman, Jeffrey A.; Reed, Andrea V.; Lavorato, John; Kitchen, Louise; Hickerson, Gary; Nowlan Jr., John L.; Fiala, Markus; Presto, Kevin M.; Grigsby, Mike; Belden, Tim; Shahi, Pushkar; Tholan, Scott; Woody, Rus; Seigle, Clayton; Fitzsimmons, Brendan; Roth, Jim; Robertson, Linda; Kean, Steven J.
Subject: Competitive Analysis Update- US Attacks Afghanistan #2
Importance: High

Update below on ground campaign strategy & timing, as well as mounting pressures on Saudi and Pakistani governments. Two reports suggest the ground campaign is underway. There are also press reports about an anthrax case in NYC--we are investigating and will update as soon as possible.

Call with questions.

RJ
x39934

1. Afghanistan Ground War Set to Escalate

With a target list thinner than for Kosovo, results from the Afghanistan air campaign five days on have been limited. But with Taleban fixed defences now softened up, the next phase of search and destroy ground raids, carried out by US and UK special forces and light assault forces, could be imminent. Insertion will be difficult but various sightings made in recent days suggest to us that the process may have begun. All our indications are that the US will commit a light division (up to 10,000 troops) and the UK a brigade (about 3,500). This is a bigger commitment than previously advertised. More stories along this line may become public over the weekend, even if the

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Pentagon does not explicitly confirm the action.

Word from Kabul is that Taleban morale is still high and that nightly bombings have prompted some commanders in the Northern Alliance to switch sides, joining the Taleban against the foreign invader. But outlying Taleban commanders have defected the other way. There is no clear pattern yet to these changes of allegiance and they may cancel each other out. And as long as the air strikes remain accurate and clearly targeted against Taleban and bin Laden objectives - which they have been so far - the potential for the Taleban to rally more popular support in Afghanistan seems limited.

When the ground assault starts, from three or four strong points inside Afghanistan, the immediate aim will be to flush out Taleban forces and get them moving so they can be struck from the air. Such action will be fast and high risk, without much media coverage (with the attendant risk that public support in the US diminishes if the real action is unseen). If the Taleban can be thus loosened, special forces will then look for Afghans who can take them to the inner core of the Al Qaeda, led by bin Laden and Aymar al Zarawahi. Depending on how long this takes, there is hope among allied planners that "reasonable elements" in the Taleban regime can be detached to form part of a broad-based coalition to run Afghanistan under supervision. The Northern Alliance on its own is definitely not the answer.

2. Saudis Feeling Increased Pressure

Refusal by Crown Prince Abdullah to allow Tony Blair to visit Saudi was only one manifestation of current nervousness in the Kingdom. The tally of small, isolated violent incidents and attacks on Westerners in the interior is beginning to mount. We have specific information moreover that leading Saudis who have not in the past paid money into Al Qaeda's coffers are now being 'advised' to do so, on grounds that they will not wish to incur Osama bin Laden's future displeasure.

Washington and London say the motivation for Abdullah's decision was well understood but both believe it was a mistake. The points which Blair would have raised in public have been made by the British Ambassador in Riyadh to his Saudi hosts privately but it was the symbolism of the Prime Minister meeting with the King and the Crown Prince which London and Washington wanted to see. Blair was particularly galled by Abdullah's blunt refusal to accept the visit when the two men spoke on the phone, particularly as it was the one blot on his most recent schedule of achievement.

3. Pakistan Holding Steady- For Now

Popular unrest in Pakistan is real but amplified by media coverage. Even in

Peshawar we are told that 'playing to the cameras' has become a distinct element of the protest. Musharraf meanwhile, having reshuffled top military and intelligence appointees, maintains both his grip and a wary eye on any signs of a split within his own ranks. Our assessment is that he is controlling the situation - just.

4. Key Issue for U.S. and Arab allies- Wider War?

There is also a distinct sense in Washington that major decisions are approaching. This is not just the imminence of ground troops being deployed in Afghanistan, but the much wider question of the stability of Pakistan, the Gulf including Saudi Arabia, Egypt and Turkey being put in some jeopardy. Those who have thought through these issues say they are prepared to risk it. As long as action against terrorism concentrates on Afghanistan, the leaderships of most of these countries believe the situation will remain manageable. But if it were to spill over, there could be difficulties for these regimes.